

Alphabet Inc.

GOOGL

Communication Services

RATING

Outperform

PRICE

\$349.78

TARGET

\$375.00

MARKET CAP	P/E (FWD)	P/B RATIO
\$4,231.44B	28.7x	9.13x
ROE	DIV. YIELD	52W RANGE
31.8%	0.24%	\$147.84 - \$353.18

Investment Thesis

“Alphabet Inc. demonstrates robust financial momentum, with revenue compounding at 11.8% annually to reach \$403 billion in 2025 while EBITDA margins expanded dramatically from 30.1% in 2022 to 44.7%, reflecting disciplined cost management and operating leverage. The company commands a leading EBITDA position among large-cap technology peers, surpassing both Meta and Microsoft in absolute EBITDA generation in 2025 at \$180 billion, with forward estimates projecting continued margin expansion toward 51.7% by 2027. Trading at a 2025E EV/EBITDA of approximately 21x against a constructive EPS growth trajectory from \$10.91 to an estimated \$13.01 by 2027, Alphabet presents a compelling combination of durable top-line growth, expanding profitability, and relative valuation support within the mega-cap technology landscape.

Company Overview

Alphabet Inc. (GOOGL) is a global technology conglomerate and the parent company of Google, one of the most dominant and widely recognized brands in the world. Founded in 1998 and restructured under the Alphabet holding company in 2015, the firm operates across a diverse portfolio of businesses spanning digital advertising, cloud computing, hardware, and emerging technologies.

At its core, Alphabet generates the vast majority of its revenue through Google Services, which encompasses Search, YouTube, Google Maps, Google Play, and its advertising ecosystem. Google Search remains the world's

leading search engine with an estimated market share exceeding **90%**, providing an extraordinarily durable competitive moat built on user data, algorithmic superiority, and advertiser network effects. Complementing this is Google Cloud, the company's rapidly growing enterprise cloud platform offering infrastructure, data analytics, and artificial intelligence services, competing directly with Amazon Web Services and Microsoft Azure. The Other Bets segment houses longer-horizon moonshot projects such as Waymo in autonomous vehicles and various life science ventures, though these remain largely pre-revenue and represent longer-term optionality.

Alphabet occupies a premier position within the global technology landscape. Its EBITDA of approximately 180 billion dollars in 2025 surpasses both Meta and Microsoft, reflecting the scale and profitability of its core advertising business combined with improving cloud economics. EBITDA margins have expanded dramatically from 30.1 percent in 2022 to 44.7 percent in 2025, driven by disciplined cost management, workforce optimization, and operating leverage across its platforms. Projections suggest continued margin expansion toward 51.7 percent by 2027, underpinned by AI-driven efficiency gains and cloud growth.

Revenue has grown at a compound annual rate of 11.8 percent from 2021 through 2025, reaching approximately 403 billion dollars in 2025, with estimates projecting over 466 billion dollars by 2027. Earnings per share have grown impressively from 4.59 dollars in 2022 to 10.91 dollars in 2025, with further growth anticipated through 2027. The current EV/EBITDA multiple of approximately 21 times reflects a modest premium to Meta but a discount to Microsoft, suggesting the market may be underappreciating Alphabet's accelerating profitability trajectory. Overall, Alphabet remains a foundational holding in the global technology sector with durable competitive advantages and compelling long-term earnings power.

Investment Overview

Alphabet Inc. (GOOGL) Investment Update

Alphabet delivered a strong fiscal 2025, reporting revenue of approximately **\$403 billion**, representing **15.1%** year-over-year growth and marking an acceleration from the **13.9%** recorded in 2024. This top-line momentum was accompanied by meaningful margin expansion, with EBITDA reaching **\$180 billion** and the EBITDA margin widening to **44.7%** from **38.7%** in the prior year. Earnings per share grew to \$10.91, up from \$8.13 in 2024, reflecting disciplined cost management alongside robust revenue generation.

The primary growth drivers remain Google Search, which continues to benefit from AI-enhanced query experiences, and Google Cloud, which is gaining enterprise traction as organizations accelerate digital transformation initiatives. YouTube advertising has also rebounded as the broader digital ad market stabilized. Contribution margins have steadily improved, reaching **59.7%** in 2025, underscoring the operating leverage embedded in Alphabet's business model.

Looking ahead, our estimates project revenue growing to **\$423 billion** in 2025E and approaching **\$466 billion** by 2027E, with EBITDA margins expanding further toward **51.7%**. EPS is forecast to reach **\$13.01** by 2027, supporting a gradually de-rating PE multiple in the mid-twenties range.

On a relative basis, Alphabet trades at an EV/EBITDA of approximately **21.2x** for 2025, a modest premium to Meta but a meaningful discount to Microsoft. Given Alphabet's accelerating EBITDA growth trajectory and superior scale, this valuation appears reasonable. The key risks include regulatory headwinds, competitive pressure in AI search, and potential cloud spending normalization. We maintain a constructive outlook on the name.

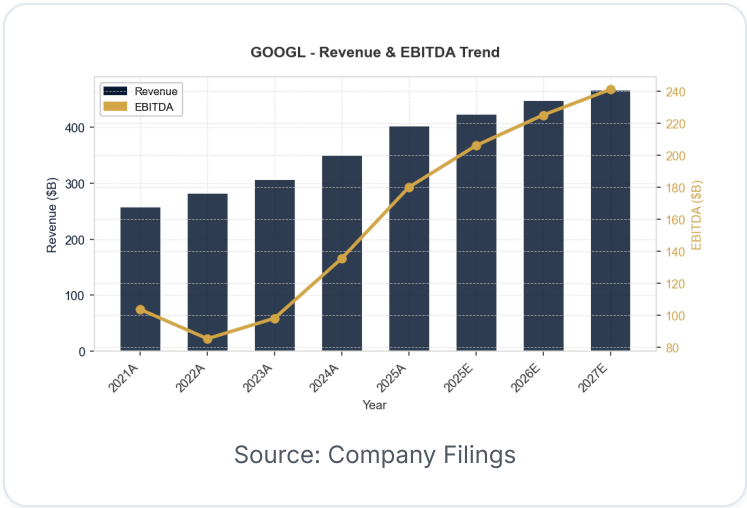
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$402.96B
EBITDA (2025A)	\$179.96B
Revenue Growth (2025A)	15.1%

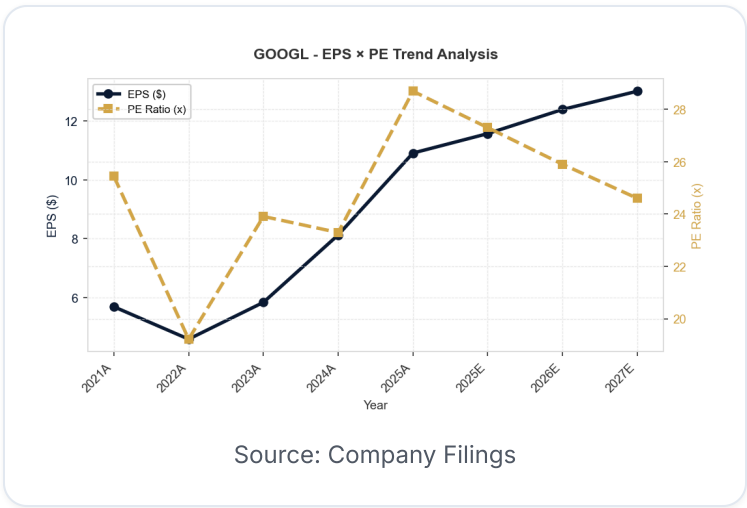


Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	10.91
PE Ratio (2025A)	28.69



Valuation Analysis

Alphabet Inc. (GOOGL) Valuation Analysis

Current Valuation Metrics

Alphabet trades at a trailing EV/EBITDA of approximately **21.2x** on 2025 actuals, reflecting strong margin expansion that has driven EBITDA from **\$85.2 billion** in 2022 to **\$180.0 billion** in 2025, a remarkable recovery and acceleration. The EBITDA margin has expanded significantly from a trough of **30.1%** in 2022 to **44.7%** in 2025, with estimates projecting further improvement toward **51.7%** by 2027. On a price-to-earnings basis, GOOGL trades at approximately **28.7x** trailing earnings, with forward multiples compressing to **27.3x** in 2025E and **24.6x** by 2027E as

EPS is expected to grow from **\$10.91** to \$13.01 over the forecast period. Revenue growth is projected to moderate to a 4-6% range through 2027, reflecting natural deceleration from a larger base.

Peer Comparison

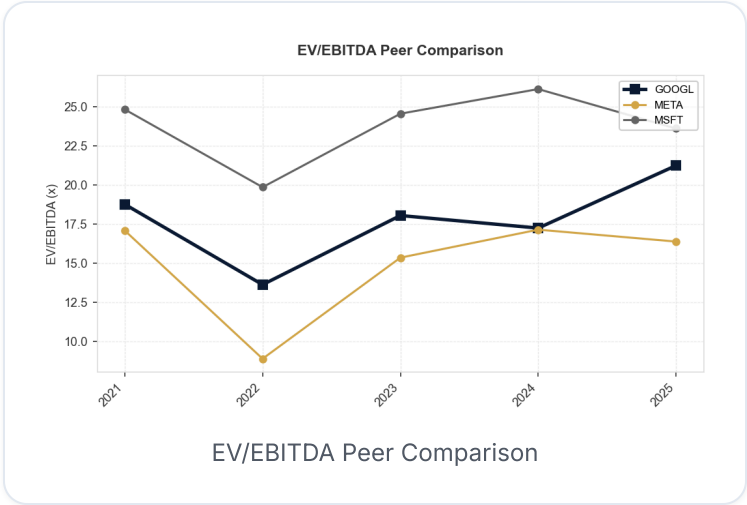
Relative to peers, Alphabet's EV/EBITDA multiple of **21.2x** sits above Meta's **16.4x** but at a meaningful discount to Microsoft's **23.6x**. This positioning appears reasonable given Alphabet's superior absolute EBITDA generation and accelerating margin profile, though Microsoft commands a premium reflecting its cloud and enterprise software mix. Meta's lower multiple reflects higher perceived execution risk and heavier capital investment cycles.

Fair Value Assessment

Based on a blended forward EV/EBITDA of approximately **20x** applied to 2026 estimated EBITDA of **\$211 billion**, and corroborated by the forward P/E compression trajectory, Alphabet appears fairly to modestly undervalued at current levels. The continued margin expansion story and AI monetization optionality provide meaningful upside support, suggesting the stock warrants a hold-to-buy stance with a fair value range of **\$190 to \$210** per share.

Peer Comparison

	2021	2022	2023	2024	2025
GOOGL	18.8	13.6	18.0	17.2	21.2
META	17.1	8.90	15.4	17.1	16.4
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Alphabet Inc. (GOOGL) heads into its Q1 2026 earnings report amid heightened investor scrutiny, with markets demanding more than solid results. Analysts and strategists are emphasizing that guidance and margin trajectory will be the decisive factors, particularly around Google Cloud growth and evidence that heavy AI capital expenditure is translating into durable profitability.

On the AI front, Alphabet is gaining notable traction with the U.S. Department of Defense, expanding access to its AI tools for classified networks following Anthropic's withdrawal from a Pentagon contract. This development positions Google as a key government AI infrastructure partner, a potentially significant and recurring revenue stream. Separately, Google and Mastercard are co-developing agentic commerce standards through the FIDO Alliance, signaling Alphabet's push into AI-driven transactional ecosystems that could open new monetization avenues beyond traditional advertising.

Microsoft's decision to dissolve OpenAI exclusivity further reshapes the competitive AI landscape, potentially benefiting Google by creating a more fragmented market where Alphabet's diversified model portfolio gains relative appeal.

From a financial perspective, the data paints an encouraging picture. EBITDA margins have expanded sharply from **30.1%** in 2022 to an estimated **48.7%** in 2025, with projections approaching **51.7%** by 2027. EPS is forecast to grow steadily toward 13.01 by 2027. However, revenue growth is expected to decelerate to 4 to **6%** in the near term, which could disappoint momentum-oriented investors.

Retail sentiment reflects cautious optimism, with overall bullish sentiment at **55.7%** and strong social media buzz. The wide divergence in source alignment suggests the market remains split on near-term catalysts. Advertising resilience and cloud acceleration remain the primary investment thesis drivers to watch this earnings cycle.

Retail Sentiment Insights

AVERAGE BUZZ 79.7/100	BULLISH AVG 55.7%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 78.6/100 Bullish 37.0% Mentions 2184 Trend rising	X.com Buzz 85.4/100 Bullish 69.0% Mentions 3077 Trend stable	Polymarket Buzz 75.2/100 Bullish 61.0% Trades 4278 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **48.7%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **50.2%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **51.7%**

Confidence Intervals:

- Revenue: **\$329.3B - \$603.6B (95% confidence)**

- EBITDA: **\$170.3B - \$312.0B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$329.3B — \$603.6B
EBITDA	\$170.3B — \$312.0B

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-28): Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): Alphabet Earnings Preview: Q1 Earnings Hinge On Margins And The Cloud
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): Can Strong Search and Cloud Growth Drive GOOGL's Q1 Earnings?
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): Here's what will take center stage as Alphabet gears up for earnings
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-28): META, GOOGL Earnings: Advertising Results Remain Key
- Impact: HIGH, Probability: **95%**
- **Acquisition** (2026-04-28): Microsoft Drops OpenAI Exclusivity — What It Means For Amazon, Google And The AI Race

- Impact: HIGH, Probability: **40%**
- **Acquisition** (2026-04-28): Google inks Pentagon deal for classified AI work despite uproar from employees warning of 'irreparable damage'
- Impact: HIGH, Probability: **40%**

Events to Monitor

- Alphabet Flashes Strength As OpenAI Growth Concerns Sink Tech Stocks; Earnings Ahead (2026-04-28)
- A Google researcher says they're 'ashamed' after the company signed a Pentagon deal for classified work (2026-04-28)
- Google Signs A.I. Deal With the Pentagon (2026-04-28)

Upcoming Catalysts

- ▼ **EARNINGS** Impact: medium
META, GOOGL Earnings: Advertising Results Remain Key
- ▲ **EARNINGS** Impact: medium
Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
- ▲ **EARNINGS** Impact: medium
Alphabet Earnings Preview: Q1 Earnings Hinge On Margins And The Cloud
- ▲ **EARNINGS** Impact: medium
Can Strong Search and Cloud Growth Drive GOOGL's Q1 Earnings?
- ▲ **EARNINGS** Impact: medium
Here's what will take center stage as Alphabet gears up for earnings

Positive Catalysts

- ✓ Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
- ✓ Alphabet Earnings Preview: Q1 Earnings Hinge On Margins And The Cloud
- ✓ Can Strong Search and Cloud Growth Drive GOOGL's Q1 Earnings?
- ✓ Here's what will take center stage as Alphabet gears up for earnings
- ✓ Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market
- ✓ Google expands defence ties with Pentagon AI agreement

- ✓ Alphabet Earnings Preview: Q1 2026
- ✓ Alphabet: All-Time Highs May Be Ahead
- ✓ AMZN, GOOGL, MSFT Earnings: Cloud Results to Drive Sentiment
- ✓ GOOGL Best Positioned of Mag 7 Earnings? Angelo Zino Previews Big Tech Reports
- ✓ Big Tech faces key earnings test on AI spending and cloud growth

Risk Factors

- ⚠ META, GOOGL Earnings: Advertising Results Remain Key
- ⚠ Microsoft Drops OpenAI Exclusivity — What It Means For Amazon, Google And The AI Race
- ⚠ Google inks Pentagon deal for classified AI work despite uproar from employees warning of 'irreparable damage'

Technical & Advanced Analysis

Technical Overview — GOOGL

Current Price: **\$349.78** | 52-Week Range: **\$147.84 - \$353.18**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$311.27** | SMA 200: **\$278.26**

RSI Overbought
RSI (14): **78.1** — Overbought territory, potential pullback.

MACD Bullish
MACD: **11.52** | Signal: **9.07** | Histogram: **2.45**

Volume Normal
Latest: **27.0M** | 20d Avg: **25.0M** | Ratio: **1.08x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
META	\$55.3B	\$37.7B	\$59.1B	\$86.9B	\$104.5B	\$128.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
GOOGL	18.8	13.6	18.0	17.2	21.2
META	17.1	8.90	15.4	17.1	16.4
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Alphabet Inc. (GOOGL), primarily through its Google segment, has consistently demonstrated robust financial performance and growth metrics when compared to its peers, Meta Platforms (META) and Microsoft Corporation (MSFT). As of 2023, Alphabet has shown a significant revenue growth trajectory with a compound annual growth rate (CAGR) of **11.8%**, showcasing its capability to expand despite market fluctuations.

In terms of EBITDA, Alphabet's figures illustrate a steady upward trend, reaching **\$179.96 billion** by 2025, surpassing Meta but slightly trailing behind Microsoft. This suggests that while Alphabet continues to excel in operational efficiency and profitability, Microsoft maintains a strong competitive edge in generating earnings before interest, taxes, depreciation, and amortization.

Alphabet's EBITDA margin is also noteworthy, climbing from **31.9%** in 2023 to an anticipated **51.7%** by 2027. This reflects the company's strategic cost management and operational scaling, positioning it well against Meta and Microsoft, which have shown varying EBITDA margins influenced by their respective operational focuses.

The EV/EBITDA multiple, which indicates market expectations of future growth and profitability, shows Alphabet as competitive within the tech sector, although it occasionally trails Microsoft, reflecting investor sentiment on Microsoft's strong market positioning.

Overall, Alphabet stands out for its solid revenue growth and improving profitability metrics, indicative of its ongoing investments in cloud services, advertising, and emerging technologies. However, the competitive landscape remains intense, with Microsoft leveraging its diversified product portfolio and Meta focusing on its social media and metaverse ambitions. Alphabet must continue to innovate and adapt to maintain its competitive edge amidst dynamic market conditions.

Risk Factors

Alphabet Inc. (GOOGL) — Key Investment Risks

- * **Revenue Growth Deceleration:** Projected revenue growth drops sharply from **15.1% (2025A) to 4.0% (2027E)**, signaling potential saturation in core advertising markets and raising concerns about Alphabet's ability to sustain its ~12% historical CAGR amid intensifying competition from Meta and Microsoft
- * **Premium Valuation Expansion Risk:** Forward EV/EBITDA of **21.2x (2025)** sits at a multi-year high relative to META (16.4x) and below MSFT (23.6x), leaving limited margin of safety — any earnings miss or margin disappointment could trigger significant multiple compression given the stock's elevated PE of ~27x
- * **AI Infrastructure Cost Overhang:** Despite EBITDA margins expanding to **44.7% in 2025A**, the aggressive capital deployment into AI (reflected in rising Cost of Operations from \$111B to \$163B since 2021) risks margin erosion if AI monetization underperforms projected EBITDA margin targets of **51.7% by 2027E**
- * **Regulatory & Antitrust Exposure:** Ongoing DOJ antitrust proceedings targeting Google Search and Ad Tech monopoly could force structural remedies, directly threatening the advertising revenue base that drives the majority of Alphabet's **\$403B in 2025 revenue**
- * **Competitive Displacement in Search:** Microsoft's AI-integrated Bing and emerging LLM-native search alternatives pose an existential threat to Google Search's dominance — even a **1-2% market share loss** could materially impair advertising revenue growth and invalidate the bullish margin expansion thesis

Key Takeaways

Revenue Growth

Alphabet Inc. has demonstrated a strong revenue growth trajectory with a compound annual growth rate (CAGR) of **11.8%** from 2021 to 2027. The company is projected to maintain positive growth, although at a slightly decelerating pace in the upcoming years, with estimates showing a **5.0%** increase in 2025E and further moderation to **4.0%** by 2027E.

Gross Profit Margin

The Contribution Margin, which serves as a proxy for Gross Profit Margin, has shown consistent improvement from **56.9%** in 2021 to an estimated **62.7%** in 2027E. This indicates that Alphabet is effectively managing its cost of operations and is expected to enhance its profitability on each dollar of revenue.

SG&A Expense Margin

Alphabet's SG&A Expense Margin has shown a declining trend, moving from **14.1%** in 2021 to an estimated **11.0%** by 2027E. This suggests that the company is gaining efficiencies in its sales, general, and administrative expenses, which could further contribute to improving overall profitability.

EBITDA Margin

Alphabet's EBITDA Margin is projected to increase significantly from **30.1%** in 2022 to **51.7%** by 2027E. This substantial improvement reflects the company's strong operational performance and ability to capitalize on its revenue growth to generate higher earnings before interest, taxes, depreciation, and amortization.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	-	9.8%	8.7%	13.9%	15.1%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
EBITDA/Int Exp	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.9	2.4	2.1	1.8	2.0
Cash Flow to Debt Ratio	3.23	3.08	3.75	4.92	2.78

AI4Finance Foundation FinRobot Equity Research

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